QUALYXUS

Air-Gapped Edge AI for Visual Inspection & Process-Quality Intelligence

- **Founder & Lead Architect:** Utkarsh Sengar (B.Tech CSE, IIT Dharwad)

> **We solve** late-stage scrap and escaped defects **by providing** an on-premise edge-AI platform that inspects every part and links each defect to the machine cycle that produced it, **to help** automotive, aerospace & defense, and industrial manufacturers **trace** defects to process drift and machine wear, so causes get fixed sooner, with all data staying inside the plant.

Qualyxus at a Glance

The Whole Pitch on One Page

Problem

Cameras say a part is bad but not why; machine data never sees which parts failed. Scrap is found late and its cause stays hidden.

Solution

On-premise edge AI that inspects every part and links each defect to the machine cycle that made it, tracking process drift and machine wear so causes can be fixed early.

Built Today

Working platform: AUROC 0.95–0.99 on the public VisA benchmark, ~1% false rejects per part on a simulated six-camera station, machine-cycle linking, per-part PLC verdicts, 166 automated tests.

Market

$590M serviceable market: ~1.7 lakh inspection points across India and SE Asia. First focus: CNC machining and injection moulding in Indian auto-component clusters.

Business Model

₹2–2.5L setup + ₹20,000 / month per line. Projected customer value ₹6–15L / line / year, payback in 4–10 months, 80%+ software margin.

Ask from dhaRti

Incubation, pilot introductions and mentors, plus seed support: ₹5L to start, up to ₹15L over 9 months as milestones are met, to reach 3 pilot stations and a first paying customer.

Stage: working prototype, pre-revenue; results so far are from public benchmarks and simulation. Spoke with the heads at Rossell Techsys, Rotary Connectors and Moog about pilots.
Next 9 months: 3 pilot stations in nearby plants, measured results, first paid conversion.

The Problem

Quality and Machine Data Live in Separate Silos

Plants run two disconnected systems, so the defect and its cause are rarely seen together:

1. Machine Vision (Post-Mortem Sorting)

- Inspects parts **after** they are made, so scrap is caught only after material, machine hours and labour are spent.
- Rule-based setups need re-programming for every new part and struggle with variable cosmetic defects.
- Says pass or fail, but not **why**: blind to the machine conditions that caused the defect.

2. Machine Telemetry (Blind to Outcomes)

- Monitors temperatures, pressures, spindle load and vibration to prevent breakdowns.
- Never learns which parts came out bad, so it cannot tell which signal patterns cause defects.
- A machine can stay inside every alarm limit while slowly drifting into producing scrap.

Target Customer Profile: Plant Heads, VPs of Quality and Maintenance Heads running automated machining, moulding, casting, stamping, welding and assembly lines in automotive, aerospace & defense, and industrial manufacturing.

The Solution

Every Defect Linked to Its Machine Cycle

Qualyxus fuses camera inspection with machine-cycle data on one on-premise edge box, so quality and maintenance teams see the same cause.

Camera + Machine Data
Industrial cameras; Modbus TCP / OPC UA

On-Prem Edge Engine
Inspect, link to cycle, score quality & wear

Advisory PLC Signal
One verdict per part; plant logic decides

Core Deep-Tech Innovations

1 Learns from Good Parts

Anomaly detection (Dinomaly / PatchCore on DINOv2) trains on several hundred good parts, with no defect library needed. AUROC 0.95–0.99 on 4 categories of the public VisA benchmark.

2 Calibrated False Rejects

Reject thresholds are set by statistical (conformal) calibration with a stated confidence bound, per part across all cameras, so the plant knows its false-reject rate before go-live.

3 Root Cause & Machine Health

Each part is linked to the cycle that made it. A wear index per component tracks drift (heater bands, check ring, cooling), with approval-gated fixes that cut scrap 79% in simulation.

4 Air-Gapped by Design

Runs fully on-premise on an NVIDIA GPU, verified offline with no downloads. Shadow mode, one-command rollback and a tamper-evident audit log built in.

Where We Play

One Platform Across Automated Manufacturing Processes

Vision learns any part from good samples. Machine data comes over Modbus TCP / OPC UA (~20 Hz); fast signals need the high-speed capture on our roadmap.

Process	Defects the camera sees	Machine signals that explain them	Wear it can track	Status
Injection Moulding	Short shots, flash, sink marks, burns, warpage	Injection & cavity pressure, melt / mould temperature, cushion	Check ring, heater bands, mould cooling	**Built end-to-end; validated in simulation**
CNC Machining	Burrs, chatter and tool marks, missing features	Spindle load, accelerometer vibration, tool counter	Cutting tools, spindle bearings	**Vision + OPC UA ready; FOCAS + accelerometer next**
Die Casting & Forging	Surface porosity, cold shuts, cracks, flash	Shot speed, die temperature, intensification pressure, press force	Dies, shot-cylinder seals	**Vision ready; fast capture + template next**
Stamping & Press Work	Cracks, splits, wrinkles, burrs	Tonnage curve per stroke	Dies and punches	**Vision ready; fast capture + template next**
Welding	Spatter, surface porosity, undercut, missing welds	Current, voltage, wire-feed speed	Electrode tips, wire feeder	**Vision ready; fast capture + template next**
Assembly & Final Inspection	Missing, misaligned or wrong-variant parts	Press-fit force, torque curves	Press and nutrunner tooling	**Vision + multi-camera ready; logical-defect checks next**

Product & Service Details

Inspection Station, Safe PLC Integration & Model Operations

Inspection Station

- Industrial camera(s), lighting and an NVIDIA edge computer mounted at the line.
- **Multi-camera part verdicts:** a part passes only when every required view passes it. A bad image or a part no camera saw is flagged not inspected, never passed.
- Defect segmentation and typing (RF-DETR) once labelled examples exist.
- **"All-Faces" 360° enclosure:** in development.

Advisory PLC Integration

- **Advisory only:** writes one verdict per part, with its part number and a heartbeat, to standard PLC registers over Modbus TCP.
- The plant's own PLC logic decides whether to divert or stop; certified safety functions are never modified.
- Designed to stay outside the safety-related control system (ISO 13849), so existing safety validation stays intact. Confirmed per site with the plant's safety engineer.

On-Prem Dashboard & Model Ops

- Live scrap rate, defect types, cycle risk, machine-health trends and part-position drift.
- Shadow mode, one-command rollback, drift alerts, approval-gated retraining and password logins by role.
- **Tamper-evident audit log** of every verdict: evidence for IATF 16949 / AS9100 audits.
- Review queue with labelling export (Label Studio / COCO).

Built & Measured

What the Platform Already Does

0.95–0.99

Anomaly-detection AUROC on 4 categories of the public VisA benchmark (previous baseline: 0.56–0.96). With thresholds set for low false rejects, it caught 35–90% of defects, depending on the part.

~1%

False rejects per part, calibrated across a simulated six-camera station: 2 of 400 unseen good parts, with all 4 defect types caught (synthetic).

100% → 0%

False rejects on parts rotated 8° after automatic part registration, with all defects still caught; 15% at 15° (synthetic).

0.83

Mask IoU for defect segmentation (RF-DETR-Seg): 100% recall and defect-type accuracy, 16.5 ms per image on a laptop GPU (synthetic).

~4 s

To promote a new model live with no downtime; 98.5% shadow-mode agreement in closed-loop simulation.

166

Automated tests passing, including forced failures: dead cameras, PLC outage, power cuts. End-to-end offline runs keep the audit log intact (simulation).

Results on the public VisA benchmark and on our synthetic part and process simulator. Nothing has run on a real PLC, camera, Jetson or factory line yet: measuring that is the goal of the paid pilots.

Product Roadmap

Built Today → Next 6 Months → 12–18 Months

Built Today

- Good-parts-only anomaly detection with calibrated reject thresholds
- Defect segmentation & typing; part registration and tiling
- Multi-camera part verdicts; camera-fault detection; review & labelling loop
- Cycle engine (Modbus TCP, OPC UA), multi-cavity part linking, risk model, machine-health index, approval-gated fixes; MQTT publishing
- Model registry (shadow, rollback), tamper-evident audit log, dashboard with logins, per-part PLC verdicts

Next 6 Months (pilot phase)

- TensorRT deployment, Jetson Orin benchmarks and industrial camera support
- CNC connectors: MTConnect and FANUC FOCAS (spindle load, tool data)
- Accelerometer input with ISO 10816 vibration zones
- One-step offline installer
- Early-warning and risk models trained on pilot data
- High-speed signal capture; maintenance-log link

12–18 Months

- "All-Faces" 360° enclosure (design with Rotary Connectors starts on funding)
- Process templates: die casting, stamping, welding
- Encrypted cross-plant federated learning (built, off by default)
- IATF 16949 / AS9100 audit-report packs
- Remaining-life estimates and maintenance planning (CMMS)
- MES / ERP integrations

Market Opportunity

TAM / SAM / SOM — Bottom-Up Sizing

$45B

TAM (Total Addressable Market)

~₹3.9 lakh crore — Global AI visual inspection (~$31B) + predictive maintenance (~$14B), 2025 estimates.[1]

$590M

SAM (Serviceable Addressable Market)

~₹5,100 Cr / yr — ~1.7 lakh inspection points on machining, moulding, casting & forging, stamping, welding and assembly lines (~1.3 lakh India, ~0.4 lakh SE Asia) × ~₹3L blended contract.[2]

$5.5M

SOM (Serviceable Obtainable Market)

~₹48 Cr ARR — 2,000 lines in Indian industrial corridors (Pune, Chennai, Bengaluru, NCR, Hyderabad, Hubballi–Belagavi) × ₹2.4L list / yr. 5-year target (~1.5% of India); exports additive.

Market Tailwinds & Growth Drivers

Auto-Component Boom

₹7.6 lakh crore turnover in FY26, up 12.7% year on year, as global OEMs shift sourcing to India.[3]

India PLI Expansion

₹1.97 lakh crore PLI outlay across 14 sectors, incl. auto components, ACC batteries and electronics.[4]

Large Installed Base

₹31,781 Cr of machine tools consumed in FY25[5], ~5,000 foundries and 500+ forging units[6]: retrofit beats ₹50L+ replacement.

[1] MarketsandMarkets, Market Research Future; IMARC. [2] Qualyxus estimate. [3] ACMA, Jul 2026. [4] PIB, Nov 2024. [5] IMTMA (provisional). [6] Foundry Informatics Centre; AIFI. ₹87 = $1.

Competition

Where Qualyxus Fits

	Legacy Vision (Cognex / Keyence)	AI Vision Competitors (SwitchOn)	Heavy Automation (Siemens / Bosch)	QUALYXUS PLATFORM
Operational Method	Post-Mortem Sorter (catches scrap late)	Primarily Visual Inspection	Heavy Physical Sensor Wiring	**Inspection + Process Drift & Wear Tracking**
Data Underpinnings	Rule-Based Image Tools (+ add-on deep learning)	Deep-Learning Image Inspection	Machine Telemetry Logs	**Images Linked to Machine-Cycle Data**
Deployment Time	Weeks of Integrator Programming per Part	Under 45 Min per New SKU (Vendor Claim)	Multi-Month Projects	**Target: 1–2 Day Install (No Machine Rewiring)**
Safety Compliance	N/A (Post-Line)	N/A (Visual Check)	Changes May Need Safety Re-validation	**Advisory Only (No Safety-Function Changes)**
Budget Captured	Quality Control Only	Primarily Quality Control	Maintenance Only	**Dual Budget: Quality + Maintenance**
Typical Cost to Plant (indicative)	₹1.2L – ₹7.5L per smart camera + integration (one-time)	Subscription (pricing not public)	₹50L+ CapEx projects	**₹2–2.5L setup + ₹20k / month per line**

Cognex In-Sight 2000 to 8000-series dealer listings in India (ex-tax, lens and integration extra). Ranges are indicative. Others also link quality to process data (e.g. Kistler ComoNeo, Eigen, Sciemetric); our difference is learning from every inspected part, on-premise, at retrofit cost.

Business Model

Hybrid Hardware-Enabled SaaS

Two revenue streams per line: a one-time hardware fee priced near cost-plus, and a recurring software licence that carries the margin.

1. One-Time Setup & Hardware: ₹2.0L – ₹2.5L per line

- Single-camera station: NVIDIA Jetson Orin-class edge computer, industrial camera + lens, lighting, enclosure, target 1–2 day install.
- Multi-camera "All-Faces" station: ₹5L – ₹7L.
- Usually within plant-level purchase authority — no board-level CapEx cycle.
- Target hardware gross margin: **20–30%**

2. Software Licence: ₹20,000 / month per line

- ₹2.4L / year, billed annually: models, retraining, updates, dashboard, on-site support.
- Costs no more than one inspector (₹20–35k / month loaded), yet covers all three shifts.
- Volume: ₹2.0L / line / yr for 10+ lines. Extra camera: ₹5,000 / month. US / EU: $10k – $15k / line / yr.
- Machine-health add-on (from pilot phase): from ₹5,000 / machine / month. Target gross margin: **80%+**

Customer Payback (per line)

Metric	Value
Annual value delivered	₹6L – ₹15L typical; up to ₹25L on high-value parts
Year-1 cost to customer	₹4.4L – ₹4.9L (hardware + licence)
Payback period	4 – 10 months
Year-2+ return on licence	2.5× – 6×

Qualyxus Unit Economics (targets)

Metric	Target
Lines per plant (within 24 months)	5 – 8
Customer acquisition cost per plant	₹5L – ₹8L (pilot + field sales)
Gross profit per plant at 6 lines	~₹11.5L / year
CAC payback	5 – 9 months

All figures are planning assumptions to be validated in paid pilots.

Go-To-Market (GTM) Strategy

The 4-Step Customer Acquisition Flywheel

1

1. Advisory Wedge (Land)

Advisory-only install in 1–2 days. Qualyxus writes a reject / alert flag to a PLC holding register; the plant's PLC keeps all stop authority and certified safety functions are untouched.

2

2. 60-Day Paid Pilot (Prove)

One line in shadow mode beside manual inspectors. Pilot fee ₹1L, credited on conversion. Success = catch rate ≥ manual inspection and ≥ ₹6L projected annual value (2.5× the licence).

3

3. Plant-Wide Expansion (Expand)

Expand to 5–8 lines per plant within 24 months of conversion. Typical plants run 20–100+ machines, so each logo has deep expansion room.

4

4. Channel Distribution (Scale)

Partner with machine-tool and moulding-machine distributors and automation integrators to bundle Qualyxus with new machines. 20–25% channel margin on software is built into pricing.

Sales-cycle assumptions: 3–6 months for auto-component Tier-1/2 plants (primary revenue); 12–24 months for aerospace & defense (parallel track).

Traction and Milestones

Pre-Revenue Today: Projected Impact on Three Target Pilot Lines

Modelled annual value per line using our value model (Business Model slide). Measured results from 60-day paid pilots will replace these projections.

1. Aerospace & Defence Electronics Supplier

- **Target scrap reduction:** 0.8% (absolute)
- **Assumed line output:** ₹8 Cr / year
- **Scrap saved:** ₹6.4L · **Inspection labour & escapes:** ₹8.6L
- **Projected annual value:** ~₹15 Lakhs

2. Precision Aerospace Components Maker

- **Target scrap reduction:** 0.2% (absolute)
- **Assumed line output:** ₹15 Cr / year
- **Scrap saved:** ₹3.0L · **Inspection labour & escapes:** ₹7.0L
- **Projected annual value:** ~₹10 Lakhs

3. Precision Connector Manufacturer

- **Target scrap reduction:** 0.5% (absolute)
- **Assumed line output:** ₹5 Cr / year
- **Scrap saved:** ₹2.5L · **Inspection labour & escapes:** ₹7.5L
- **Projected annual value:** ~₹10 Lakhs

Total Projected Annual Value: ~₹35 Lakhs across 3 pilot lines against ₹7.2L / year in licence fees (~5× return; customer payback in 4–6 months). **Next Milestone:** sign lines like these for 60-day paid pilots and publish measured catch rate, scrap and inspector-hour savings.

Projections, not measured results, for example lines, not any named company. Assumed line output is illustrative; inspection labour uses ₹20–35k / month loaded inspector cost across 3 shifts.

Financial Plan

3-Year Revenue Build (Planning Assumptions)

Metric (end of year)	Year 1	Year 2	Year 3
Paying plants	5	15	40
Paid lines	20	90	300 (incl. 20 SE Asia)
Software ARR	₹0.48 Cr ($55k)	₹2.1 Cr ($0.24M)	₹7.0 Cr ($0.8M)
Hardware revenue (in year)	₹0.45 Cr	₹1.6 Cr	₹4.9 Cr
Team size	5	12	25
Key milestone	1 plant at 5+ lines	Series A readiness	First SE Asia deployments

Key Assumptions

- List price ₹2.4L / line / yr; blended ₹2.2–2.3L after volume discounts.
- SE Asia (Year 3): ₹4.2L / line / yr software (~1.75× India), ₹3L hardware. US / EU after Year 3.
- India hardware: ₹2.25L average per new line.
- Annual logo churn ≤ 10%.
- Software gross margin 80%+; hardware 20–30%.
- Machine-health add-on not included (upside).

Path: land in Indian auto-component clusters (machining and moulding first), expand within each plant and to new processes, then take the same product to SE Asia (~1.5–2× Indian pricing) and US / EU (~4×) through distributors.

Year 1 starts at the first paid conversion (month 9 of the seed plan). Projections are illustrative planning assumptions, not forecasts. ₹87 = $1.

Team & Advisors

Leadership, Cap Table & Strategic Advisors

Founder & Core Architect

Utkarsh Sengar (B.Tech CSE, IIT Dharwad)

- Built the full platform: good-parts-only anomaly detection, defect segmentation, part-to-cycle linkage and risk models, edge deployment and model operations.
- LinkedIn: linkedin.com/in/utkarsh-sengar

Cap Table Status

100% Founder Owned (Utkarsh Sengar)

Company incorporation planned with dhaRti support.

Strategic Advisory Board

Dr. Rakesh Kumar

VP R&D, Rossell Techsys (ex-Moog, ex-Indian Navy).

Shankar Lal

Discipline Chief, Cyient (21 years at HAL).

Ramesh Rana

Operations Lead, SIG SAUER.

How dhaRti Can Help

What I Need to Reach the First Paid Pilots

1 Incubation & Lab Space

A campus desk, a lab bench for a test inspection rig (camera, lighting, sample parts) and GPU compute time.

Unlocks: Real-hardware testing before plant pilots.

2 Seed Support: ₹5L to Start

Up to ₹15L in milestone-based tranches (next slide), from dhaRti directly or through NIDHI-PRAYAS / Startup India Seed Fund with dhaRti as host.

Unlocks: First 3 pilot stations and Jetson benchmarks.

3 Pilot Introductions

Introductions to 3–5 plants in the Hubballi–Dharwad–Belagavi cluster: foundries, machining shops and aerospace suppliers.

Unlocks: First paid 60-day pilots, close to campus.

4 Mentors

A manufacturing-quality expert, an industrial-sales mentor and an IP advisor.

Unlocks: Faster, better-aimed pilots and pricing.

5 IP & Company Setup

Patent assessment and filing for our part-to-cycle linking and calibration methods; incorporation and compliance guidance.

Unlocks: Defensible IP before wider rollout.

6 Investor Access

Introductions to angels and funds for the ₹2 Cr pre-seed once pilots are live.

Unlocks: The ₹2 Cr pre-seed after pilots show results.

In return: an IIT Dharwad deep-tech startup in manufacturing AI, with measured results from real plants within 9 months of incubation and monthly progress reports to dhaRti.

Seed Support Request

₹5 Lakh to Start; Up to ₹15 Lakh over 9 Months as Milestones Are Met

Use of Funds

Item	Amount
3 pilot inspection stations (camera, lighting, Jetson)	₹5.0L
Lab test rig + Jetson development kit	₹1.5L
Engineering intern / junior engineer, 6 months	₹3.0L
Plant installs and travel	₹1.5L
Incorporation, DPIIT recognition, provisional patent	₹1.5L
Compute, software and tools	₹1.0L
Contingency	₹1.5L
Total	₹15.0L

Released Only as Milestones Are Met

Tranche 1 · ₹5L · Month 0

Test rig, first station, 360° inspector design start, company setup and patent filing.
Milestone (month 3): rig live; Jetson speed and accuracy benchmarks published.

Tranche 2 · ₹5L · Month 3

Two more stations and the intern's first 3 months.
Milestone (month 6): 3 pilot stations installed in nearby plants.

Tranche 3 · ₹5L · Month 6

Intern months 4–6, plant installs and travel, contingency.
Milestone (month 9): measured pilot results and the first paid conversion.

dhaRti's risk is capped at ₹5L at a time: each tranche follows a met milestone. Can be funded directly or through NIDHI-PRAYAS / SISFS with dhaRti as host incubator.

QUALYXUS

Edge AI that traces every defect to its cause

Founder
Utkarsh Sengar

Affiliation
IIT Dharwad

Email
cs23bt026@iitdh.ac.in

Phone
8792356189

LinkedIn
linkedin.com/in/utkarsh-sengar

Demo
Live demo and code walkthrough available on request